EXECUTIVE SUMMARY

A. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 61,800 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and value for money were conducted on the accounts and operations of the LGU Solana, Cagayan for the calendar year 2016. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained at an efficient, economic and effective manner.

B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Solana, Cagayan for CY 2016 with comparative figures for CY 2015 are as follows:

	2016	**2015**	**Increase/(Decrease)**
Assets	P 440,162,382.44	P 267,664,120.57	P 172,498,261.87
Liabilities	131,210,148.17	124,081,332.90	7,128,815.27
Government Equity	308,952,234.27	143,582,787.67	165,369446.60
Income	200,616,908.72	160,843,647.38	39,773,261.34
Expense	142,909,325.54	118,309,196.06	24,600,129.48
Appropriation	206,882,877.24	160,314,507.43	46,568,369.81
Obligation	147,842,219.27	148,095,604.30	253,385.03

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2016 with comparative figures for CY 2015 are shown below:

	2016	**2015**	**Increase/(Decrease)**
Funds Received from Other Agencies:			
NGAs	P 28,748,752.00	P 13,197,885.00	P 15,550,867.00
LGUs	500,000.00	1,000,000.00	(500,000.00)
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**P 29,248,752.00**	**P 14,197,885.00**	**P 15,050,867.00**

	2016	2015	Increase/Decrease
Funds Transferred to Other Agencies:			
NGAs	0.00	0.00	0.00
LGUs	P 5,800,000.00	P 4,140,000.00	P 1 ,660,000.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**P 5,800,000.00**	**P 4,140,000.00**	**P 1,660,000.00**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered a **qualified opinion** on the fairness of the presentation of financial statements of the LGU Solana, Cagayan as of December 31, 2016 due to the following:

(a) absence of an updated Certified List of Taxpayers rendering the Real Property Tax and Special Education Tax Receivables totaling P73,577,438.57 unreliable; and

(b) non-settlement of cash advances totaling P1,074,994.90 as of year-end affected the reliability of the related assets, expenses and government equity accounts.

D. **Summary of Significant Findings and Recommendations:**

1. **Disbursements totaling P20,504,455.56 for various projects were not supported with complete documentary requirements as prescribed under COA Circular No. 2012-001, thus, the validity and propriety of the transactions could not be ascertained.**

   We recommended that Management ensure that all payments to be made for the procurement of goods and infrastructure projects are supported with the documentary requirements prescribed under Sections 9.1 and 9.2 of COA Circular No. 2012-001. Further, we recommended that the lacking documents be submitted immediately.

2. **Pertinent provisions of the Revised Implementing Rules and Regulations of Republic Act No. 9184 were not observed in the procurement of various goods and infrastructure projects of the Municipality totaling P2,984,481.98.**

   We recommended the following:

   Supply and Delivery of Drugs, Medicines, Vitamins, Dental and Medical Equipment

   - The Bids and Awards Committee should exercise prudence in the review of eligibility requirements to determine whether prospective bidders are eligible

to participate in the Municipality's various procurement projects in faithful observance to Section 23.1 of the Revised Implementing Rules and Regulations of Republic Act No. 9184.

- The submission of an explanation or justification as to why the supplier was still declared eligible despite the submission of the audited financial statements which were not stamped "RECEIVED" by the BIR and the Certification on Outstanding Tax Liability of Taxpayer instead of the required tax clearance is hereby enjoined.

Construction of Potable Water Supply at Masin – Iraga and Construction of Organic Shed

- The Bids and Awards Committee should exercise prudence in the review of eligibility requirements to determine whether prospective bidders are eligible to participate in the Municipality's various procurement projects in faithful observance to Section 23.1 of the Revised Implementing Rules and Regulations of Republic Act No. 9184.

- The submission of an explanation or justification as to why the supplier was still declared eligible despite the absence of a mayor's permit and/or tax clearance during the opening of bids and/or the submission of the audited financial statements which were not stamped "RECEIVED" by the BIR is hereby enjoined.

Construction of Solana Public Market Annex (Vegetable Section)

- The Bids and Awards Committee should review the content of the Notice of Post-Qualification and ensure that it serves the purpose set out under Section 34.2 of the Revised Implementing Rules and Regulations of Republic Act No. 9184.

Construction/Installation of Potable Water Supply System

- Management should ensure that performance securities for the Municipality's various procurement projects are posted within the period prescribed under Section 37.2.1 of the Revised Implementing Rules and Regulations of Republic Act No. 9184.

- Further, concerned officials are enjoined to submit their explanation/justification for the acceptance by the end user of the project before it has been completed and inspected by the Municipal Inspectorate Team.

3. **The Municipality failed to implement seven (7) out of the twelve (12) targeted projects under the 20% Development Fund for CY 2016. As a result, the intended beneficiaries did not immediately benefit from the projects.**

   We recommended that the Municipal Government should coordinate all efforts to implement fully the programmed projects under the 20% Development Fund to be able to deliver the basic services and benefits intended for the beneficiaries.

E. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P17,378,943.64	0.00	0.00	P17,378,943.64	0.00%
Current Year	0.00	P86,771.42	P86,771.42	0.00	100.00%
Total	**P17,378,943.64**	**P86,771.42**	**P86,771.42**	**P17,378,943.64**	**0.50%**
Disallowances:					
Prior Years	P460,618.36	0.00	P10,000.00	P448,236.02	2.17%
Current Year		P340,919.32	1,504.82	339,414.50	0.44%
Total	**P460,618.36**	**P340,919.32**	**P11,504.82**	**P790,032.86**	**1.44%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations:

Of the 23 prior year's audit recommendations, embodied in the 2015 Annual Audit Report, five were fully implemented, 11 were partially implemented and seven were not implemented.